

Questions and Answers

Beginner Level (4 Questions)

1. **Q: What does Generative AI do? (MCQ)**

- o a) Sorts financial data
- o b) Generates new content based on existing data
- o c) Deletes obsolete records
- o d) Encrypts banking transactions

Answer: b) Generates new content based on existing data

2. **Q: Name two common applications of Generative AI in finance. (Descriptive)**

Answer: Report automation and customer service chatbots.

3. **Q: Which tools are popularly used for Generative AI in finance? (Descriptive)**

Answer: ChatGPT for text generation and BloombergGPT for finance-specific insights.

4. **Q: What is one key benefit of using Generative AI in financial operations? (Descriptive)**

Answer: It increases operational efficiency by automating tasks like report generation and data analysis.

Moderate Level (3 Questions)

5. **Q: How does Generative AI assist in financial risk modeling? (Descriptive)**

Answer: It creates synthetic data sets and simulates various financial scenarios to improve forecasting and risk assessment.

6. **Q: Describe a potential risk associated with using Generative AI in finance. (Descriptive)**

Answer: One major risk is hallucination—where the AI generates inaccurate or fabricated information, which can mislead financial decisions.

7. **Q: Explain how financial institutions should ensure ethical use of Generative AI. (Descriptive)**

Answer: By implementing transparency, bias audits, regulatory compliance checks, and human oversight in decision-making processes.

Hard Level (3 Questions)

8. **Q: How can Generative AI improve customer experience in banking?**

(Descriptive)

Answer: It enables real-time, personalized conversations through chatbots and helps quickly generate tailored financial advice or documentation.

9. **Q: Which of the following is a model specifically designed for financial data?**

(MCQ)

☐ a) Midjourney

☐ b) DALL-E

☐ c) BloombergGPT

☐ d) Whisper

Answer: c) BloombergGPT

10. **Q: A company uses Generative AI to produce financial reports. What quality checks should be in place? (Descriptive)**

Answer: Human review of generated content, cross-verification of financial figures, compliance with regulations, and validation against original data sources.

Would you like this added to the earlier training module and exported as a single PDF?

You said:

give one Essay type question with over 200 words

ChatGPT said:

Certainly! Here's a well-crafted **essay-type question** related to *Generative AI in Finance*, designed to encourage analytical thinking and application of concepts. The expected answer is also included and exceeds 200 words.

Essay-Type Question

Q: Discuss the transformative impact of Generative AI in the financial services industry. Highlight both the opportunities it presents and the challenges it introduces, including ethical and regulatory concerns in not less than 200 words

Answer:

Generative AI is rapidly transforming the financial services industry by enabling the creation of intelligent systems that can produce content, analyze data, and support decision-

making in innovative ways. One of the most significant opportunities lies in its ability to automate routine tasks such as generating financial reports, summarizing market trends, and drafting compliance documentation. These capabilities allow financial institutions to operate with greater efficiency, reduce operational costs, and improve the speed and accuracy of decision-making.

Another key benefit is personalization. Generative AI can power chatbots and virtual advisors that provide tailored investment advice, helping institutions better serve their clients. Additionally, it can be used to create synthetic data for training models in a privacy-preserving manner, a crucial advantage in environments with strict data protection regulations.

However, with these opportunities come serious challenges. Generative models are known to hallucinate or produce factually incorrect outputs, which can be dangerous in a high-stakes environment like finance. There's also the issue of bias—models trained on historical financial data may reflect and perpetuate existing inequalities. Moreover, regulatory frameworks around AI use in finance are still evolving, and institutions must ensure that their AI-driven processes comply with standards like GDPR, SOX, and other local laws.

Therefore, while generative AI has immense potential to reshape finance, its adoption must be governed by strong ethical principles, rigorous validation, and continuous human oversight.